COURSE

Cambridge IGCSE Business (0450 / 0264)

Cash flow

5 Financial information and financial decisions · 5.2 Cash flow forecast (0450: 5.2 Cash-flow forecasting and working capital)

Revision for 5 Financial information and financial decisions: each firm works it out on its own deals.

Class **Cambridge IGCSE Business (0450 / 0264)** Topic **Cash flow**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Profit on this deal**	TASK 2 **Improve cash flow**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Forecast in order**	TASK 4 **Month-end balance**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Cash now or later**	TASK 6 **Month-end balance**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

They pay you in 30 days.

Profit on this deal?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Cars in the deal	**2 cars**
You buy them today, in total	**£28,000**
Prep and delivery, per car	**£300**
Customer pays in total	**£34,000**

METHOD

Profit = customer pays − you buy them − cars × prep per car

£34,000 − £28,000 − 2 × £300 = £5,400

Why: £5,400 profit, but £28,600 is out of your cash for 30 days.

Task 2

ROUND 1

Your bank balance is low. Customers take 60 days to pay you.

Which two would improve your cash flow?

PICK TWO

- ✔ **Ask customers to pay sooner**
- ✔ **Ask suppliers for longer to pay**
- ○ Buy more cars now to sell later
- ○ Give customers 90 days to pay
- ○ Pay suppliers early for goodwill

Why: Cash comes in sooner or goes out later; the other three take cash out sooner.

Task 3

ROUND 2

You fill in next month's cash-flow forecast.

In what order do you work it out?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

Why: Net cash flow first; add the opening balance; the closing balance carries over.

Task 4

ROUND 2

A two-month deal.

Balance at the end of month 1?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Set aside for this deal	**£25,000**
Month 1: you buy the cars	**£49,500**
Month 1: customer deposit	**£11,500**
Month 2: rest of the price	**£45,500**

METHOD

Balance = set aside − you buy the cars + deposit

£25,000 − £49,500 + £11,500 = −£13,000

Why: Month 1 is short by £13,000. Month 2 brings £45,500.

Task 5

ROUND 3

Your bank balance is low. A taxi firm pays £30,000 today; a hire firm pays £31,000 in 90 days.

Which deal should you take, and why?

PICK A OR B AND GIVE A REASON

- ○ The hire firm: £31,000 in 90 days
- ✔ **The taxi firm: £30,000 today**

Why: With cash short, money today matters more than £1,000 more in 90 days.

Task 6

ROUND 3

They pay half in month 2.

Balance at the end of month 2? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Set aside for this deal	**£15,000**
Month 1: you buy the cars	**£42,000**
Running costs, each month	**£400**
Customer's price	**£53,000**

METHOD

Balance = set aside − you buy the cars − 2 × running costs + half the price

£15,000 − £42,000 − 2 × £400 + £26,500 = −£1,300

Why: Month 2 is still short: the other half comes in month 3.

Final questions

6
questions for each pupil

159
Level 2 Business questions

10
of them on cash flow

The game draws 6 of the 159 Level 2 questions; these 10 are about cash flow.

1 A dealership starts a week with £15,000 cash. Cash inflows are £42,000 and cash outflows are £38,000. What is the closing cash balance?
£19,000.

2 A motor business forecasts cash inflows of £31,000 and cash outflows of £37,000 in April. What is net cash flow for April?
−£6,000.

3 A dealership opens April with £22,000 cash and forecasts net cash flow of −£6,000. What is its forecast closing balance?
£16,000.

4 A dealer records a sale on credit but will not receive cash for 30 days. Why can it be profitable yet short of cash?
Profit counts sales; cash depends on when money arrives.

5 A firm begins a week with £8,000 cash, receives £25,000 and pays £39,000. What is its closing cash balance?
−£6,000.

6 Customers pay 60 days after delivery, so a profitable fleet dealer is short of cash. Which change helps its cash flow most directly?
Agree shorter payment terms.

7 Why should the Finance lead update a cash-flow forecast when customer payment dates change?
Receipt timing changes when a surplus or shortage may occur.

Final questions

8 Why should the Finance lead not use profit alone to decide whether a bill can be paid today?

Profit does not show when cash arrives.

9 Which sign should most concern the Finance lead about short-term solvency?

It often cannot pay bills when due.

10 Profit is sales minus costs. Cash is the money in the bank now. A profitable dealer cannot pay a bill due Friday. What helps soonest?

Chase customers who owe it money.